

TECHNOVA ELECTRONICS INC.

SUPPLIER CONTRACT

SUMMARY

SUPPLIER	ChipWorks Semiconductor
LOCATION	Hsinchu, Taiwan
CONTRACT PERIOD	January 1, 2025 – December 31, 2025
CONTRACT ID	SC-2025-CHIP-001
PREPARED BY	Procurement & Legal
DATE	January 15, 2025

RISK CLASSIFICATION:
GREEN

CLASSIFICATION: CONFIDENTIAL — AUTHORIZED PERSONNEL ONLY

Contract Overview

ChipWorks Semiconductor is a Tier 1 strategic supplier providing processor and semiconductor components for all TechNova laptop models. This contract governs the supply of the following components:

- Intel Core i7 Processor 13th Gen (RM-PROC-I7)
- Intel Core i5 Processor 13th Gen (RM-PROC-I5)
- Li-Ion Battery Cell 56Wh (RM-BAT-56WH) — secondary source

Current Performance (YTD)

Metric	Value
On-Time Delivery	94.3% (meets target)
Incoming Rejection Rate	0.7% (meets target)
Average Lead Time	11.1 days
Total PO Lines	35
Risk Classification	GREEN

Contract Terms

Term	Detail
Term Length	12 months (auto-renewal with 90-day notice)
Minimum Order Quantity	50 units per PO line
Payment Terms	Net 45 days from goods receipt
Currency	USD
Incoterms	DDP Austin, TX (Delivered Duty Paid)
Insurance	Supplier responsibility until warehouse receipt

Pricing & Volume Commitments

Pricing Schedule

Component	Tier 1 (0–500)	Tier 2 (501–1000)	Tier 3 (1001+)
Intel Core i7 Processor 13th Gen	\$280/unit	\$265/unit	\$250/unit
Intel Core i5 Processor 13th Gen	\$195/unit	\$185/unit	\$175/unit
Li-Ion Battery Cell 56Wh	\$355/unit	\$340/unit	\$325/unit

Annual Volume Commitment: Minimum 3,000 units across all components. Volume Rebate: 2% rebate on total annual spend if commitment met. Price Adjustment: Annual review, maximum increase 5% with 60-day notice.

Procurement cost note: These prices represent the *PROCUREMENT* view of cost (PO unit price only). They do NOT include labor cost (\$50/unit added during Manufacturing assembly), freight cost (\$20/unit added by Logistics),

or import duty (\$10/unit added at customs). The FINANCE view (landed cost) is therefore \$60–\$80 higher per unit than these contract prices. This distinction is critical for accurate cost reporting across personas.

Estimated Annual Spend

Based on 2025 demand forecast:

Component	Volume	Avg Price	Estimated Spend
i7 Processors	1,200 units	\$265	\$318,000
i5 Processors	1,500 units	\$185	\$277,500
Battery 56Wh (secondary source)	500 units	\$340	\$170,000
Total Estimated	—	—	\$765,500

Service Level Agreements (SLAs)

1. Delivery Performance

Item	Detail
Target	>= 95% on-time delivery (measured at goods receipt)
Measurement	Monthly, based on supplier_promised_date vs gr_date
Current Performance	94.3% (marginal — within 1% of target)
Penalty	1% of affected PO value for each percentage point below 90%
Bonus	0.5% discount on next quarter if OTD exceeds 98%

2. Quality Performance

Item	Detail
Target	< 2% incoming inspection rejection rate
Measurement	Monthly, based on incoming_rejected_qty / order_quantity
Current Performance	0.7% (excellent)
Penalty	Full replacement at supplier cost for rejected units
Escalation	If rejection exceeds 5% for 2 consecutive months, TechNova reserves right to audit supplier facility

3. Lead Time

Committed lead time: 10 business days from PO date to goods receipt. Current average: 11.1 days (slightly above commitment). Emergency orders: 5 business days at 15% premium. Note: this lead time is the PROCUREMENT definition (PO-to-receipt). Customer-facing lead time (SALES definition) is ~12 days total.

4. Documentation

Three-way match: PO qty = GR qty = Invoice qty required for payment. Invoice submission: within 5 days of goods receipt. Certificate of Compliance required with each shipment.

5. Business Continuity

Safety stock at ChipWorks: minimum 2 weeks of TechNova demand. Disaster recovery: alternative production site within 30 days. Force majeure: notification within 24 hours; mitigation plan in 72 hours.

Risk Assessment & Governance

Geopolitical Risk: MEDIUM

Taiwan semiconductor industry faces ongoing geopolitical tensions. Mitigation: evaluate secondary processor source from South Korean suppliers. ChipWorks has committed to maintaining 4-week buffer inventory.

Single-Source Risk: HIGH (for i7 processor)

ChipWorks is the sole supplier for Intel Core i7 13th Gen processors. Mitigation: qualify BoardMaster PCB (China) as secondary source by Q2 2026. Until dual-sourced, maintain 6-week safety stock for i7 processors.

Currency Risk: LOW

Contract is USD-denominated. No forex exposure.

Quality Risk: LOW

0.7% rejection rate is well within the 2% threshold. ChipWorks has ISO 9001:2015 and IATF 16949 certifications.

Supply Chain Position in Ontology

ChipWorks sits at the Supplier → Component stage of the supply chain. Their output feeds into: Procurement (PO management) → Quality Incoming Inspection → Manufacturing Assembly → Final Test → Warehouse → Sales Order Fulfillment → Logistics Delivery → Customer. A disruption at ChipWorks propagates through ALL downstream stages.

Contract Governance

Item	Detail
Quarterly Business Reviews	January, April, July, October
Annual Contract Review	November (for next-year renewal)
Primary Contact at ChipWorks	James Chen, VP Sales
TechNova Contract Owner	Procurement Manager
Escalation Path	Procurement → VP Supply Chain → CEO (within 48 hours)

Signatures

TechNova Procurement Director: _____ Date: _____

ChipWorks VP Sales: _____ Date: _____

TechNova Legal Counsel: _____ Date: _____